Each departmental head derives his authority from the general manager and delegates' authority to his immediate subordinates. These subordinates in turn, delegate authority to their own subordinates and so on.

All departmental heads enjoy equal status and authority, also they function independently from one another. For example, the production manager will not interfere in the decision making of sales manager or finance manager and vice versa. Further, no executive in a line organisation should be burdened with supervising a large number of subordinates.

### Merits of Line organisation

- **Simple:** A line organisation is easy to establish. There are no complications in defining the relationships.
- **Clear division of authority and responsibility:** Each individual has his area of authority clearly indicated. He also wants to know that he is responsible for his work performance.
- **Unity of control:** Employees are given orders by only one superior and hence a subordinate does not want to carry out the orders of number of superiors.
- **Speedy action:** Decisions can be made and executed promptly due to unity of command and clear division of authority and responsibility.
- **Flexibility:** Each executive understands his role and responsibility and make suitable adjustment to realize the goals set for him.

### Demerits of Line organisation

- **Lack of specialisation:** Line executives are responsible for both planning and execution of the work assigned to them which amounts for too much relying on the capacity and capability of individual executives.
- **Over burdening of key men:** An executive with line authority has complete control over his unit and he is solely responsible for the performance of his subordinates. This places a great burden on a individual.
- **Limited communication:** A Line organisation does not usually provide communication from the subordinate i.e. upward communication. This hinders creativity and capacity for independent thinking of the employee as they develop the habit of working as per orders of their superior.
- **Subjective approach:** A line executive has monopoly over decision – making and he is not obliged to seek advice or listen to line organisation.

### Suitability of Line organisation

Even with its drawback, line system of organisation will be quite suitable for enterprises which are small in size or where the work involved is of a routine nature or machine based.

## 3.9 Line and Staff organisation

A Line function is one that directly advances an organisation in its core work. This always includes production, sales and marketing. In an organisational set-up, those who possess line authority are the people directly involved in the basic activities of the enterprise. The line managers are responsible for achieving the results, so they are having authority to decide and implement decisions.

The Staff officials are experts and having specialised knowledge in their respective field, so they will guide and advice line managers and they do not have any authority for decision making. The Line managers can accept or reject the suggestions given by the Staff managers.



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